

INSURANCE LAW SUMMARY

Insurance is a social tool that protects individuals from unforeseen losses or misfortunes.

Holdsworth's Definition is that Insurance is a contract where one party (the insurer) agrees to indemnify another (the insured) in exchange for a premium, against loss. This definition has been codified under **section 2 of the Insurance Act Cap 191**, which also describes it as a contract where the insurer provides payment or a benefit to the policyholder or another party when a specified uncertain event occurs.

Further Marine Insurance Act Cap 192 under Section 3 defines marine insurance specifically.

Types of Insurance

Insurance is categorized into two types;

Marine Insurance: Covers losses related to sea-based trade, e.g., goods being shipped.

Non-marine Insurance: Covers other forms of insurance like health, life, etc.

Parties to an Insurance Contract

- **Insured (Assured):** The person or entity covered by insurance.
- **Insurer:** The company or entity providing insurance.
- **Agents:** Individuals who represent the insurer in arranging the contract.
- **Brokers:** Independent intermediaries who connect the insured with the insurer.

Historical Development of Insurance

W.S. Holdsworth traces the development of modern insurance to **Marine Insurance**, which emerged from the practices of Italian merchants trading on the high seas. If goods did not reach their destination, ship

owners acted as the first insurers, compensating the owner for the lost goods.

Principles that were developed here under included;

- **Insurable Interest:** The insured must have a stake in the subject matter of the insurance (e.g., ownership of goods).
- **Salvage/Subrogation:** If the insurer compensates the insured, they take ownership of any remaining assets related to the insured event.

In Uganda Motors Ltd vs. Wavah Holdings Ltd, SCCA¹ which is significant for discussing how the 1967 Judicature Act excluded certain laws of general application in Uganda, including insurance statutes that predated local legislation.

Relevant Historical Legislation in Uganda include;

- **1902 Order-In-Council** which imported laws applicable in England before 1902 into Uganda.
- **Judicature Act (1967)** which later excluded the application of statutes of general application from Uganda's legal framework.

Furthermore, Insurance in Uganda initially had significant government involvement, with the n government acting as a provider. Over time, the government shifted its role to that of a **regulator**. **Nominal Defendants Council** which was a body established to help victims of motor vehicle accidents receive compensation. **Motor Vehicle Third Party Insurance** was introduced to ensure compensation for victims in accidents involving motor vehicles. And now Insurance companies must now be licensed by the **Insurance Regulatory Authority of Uganda**.

Below are some of the relevant Acts that guide Insurance in Uganda.

- **Insurance Act Cap 191:** Governs general insurance law in Uganda.
- **Marine Insurance Act Cap 192:** Covers marine insurance.

¹ No. 19/91

- **Motor Vehicle (Third Party Risks) Act, Cap. 193:** Deals with motor vehicle third-party insurance.
- **Traffic and Road Safety Act, Cap. 347:** Regulates traffic safety, including issues related to insurance.
- **Workers Compensation Act, Cap. 233, Sections 18 & 19:** Discusses compensation for workers injured in the course of their employment.
- **Companies Act, Cap 106:** Governs the formation and operation of insurance companies.

INSURANCE LAW

Insurance provides financial compensation for misfortune, arising from the accumulated contributions of all parties involved in the scheme. It operates as a collective risk-sharing mechanism.

Contract of Insurance

Insurance is generally described as a contract to pay money for providing service on the occurrence of a future uncertain event, provided the insured has an interest in that event. The contract obliges the insurer to compensate the insured, not to provide a discretionary benefit. The event must be uncertain, and in life assurance, there must be uncertainty about when it will occur. The insured must have an interest in the property or life being insured. In **Medical Defence Union v Department of Trade**² where the Medical Defence Union provided discretionary legal assistance to its members. The Department of Trade argued this was insurance business, which required a license. The court held that to be an insurance contract, there must be a right to receive money or money's worth. Since the union provided discretionary benefits, it was not insurance under the Insurance Companies Act 1974. According to Sir Robert Megarry V-C, a contract of insurance must involve the obligation to provide money

or money's worth, not merely benefits other than money or money's worth. Furthermore in **Prudential Insurance Co. v Inland Revenue Commissioners**³ where Prudential agreed to pay a sum on the assured reaching 65 years of age, or a smaller sum if they died earlier. The court ruled this was an insurance contract based on the contingency of life. Also in **Gould v Curtis (Surveyor of Taxes)**⁴ provided further clarification on the elements of an insurance contract. A contract is a contract of insurance if (1) it entitles the assured to something on the occurrence of some event, (2) the event involves uncertainty, and (3) the assured has an insurable interest in the subject matter.

There are two categories of insurance;

- **Indemnity Insurance:** Provides compensation for actual loss, such as in a fire or marine policy. The payment is equivalent to the loss suffered.
- **Contingency Insurance:** Pays a fixed sum on the occurrence of a specified event, like in life insurance or personal injury policies, regardless of the loss's value.

West Wake Price & Co. v Ching⁵ differentiated between indemnity and contingency insurance.

Indemnity insurance compensates for actual loss, while contingency insurance provides a fixed payout based on a specified event.

Formation of a Contract of Insurance

The general requirements of contract law apply, including offer, acceptance, consideration, intention, and consensus. The offer is usually made by the insured through a proposal form, and the insurer accepts it by issuing the policy. There is no special form required, except for marine insurance, which must be in writing under the Marine Insurance Act. Until acceptance, either party may withdraw, but once the contract is completed, both are bound by its terms. In **Christine Mawadri t/a Maisha Creative Agencies v Brit Syndicates & AON Uganda Ltd**⁶ where the plaintiff failed to state in the proposal form that they intended to insure against the non-appearance of a musician (Akon). When the

² [1979] 2 All ER 421; [1980] 1 Ch 82

³ [1904] 2 KB 658

⁴ [1913] 3 KB 84

⁵ [1956] 3 All ER 821, 826

⁶ HCCS Civil Suit No. 376 of 2009

musician failed to show up, the insurer rejected the claim, as the peril was not covered in the policy. The court agreed. **Furthermore in General Accident Insurance v Cronk**⁷ where the insured refused to pay the premium, arguing the policy terms differed from those in the proposal form. The court held that the insured is deemed to have accepted the usual terms unless otherwise stated.

Further cases with nice principle include in regards to formation of a contract include;

Taylor v Allon⁸ where it was held that silence cannot constitute acceptance of an insurance contract. Acceptance must be communicated.

Canning v Farquhar⁹ where the court ruled that the insurer was not bound to provide coverage when the premium payment was delayed until after the proposer sustained injuries. The acceptance was conditional upon payment.

Proposal Form

The proposal form is the application by which the proposed insured provides details of the risks to be covered. It forms the basis of the contract and contains representations and disclosures that affect the insurance contract.

Cover Notes

A cover note provides temporary insurance coverage until the formal insurance contract is issued. It should have the full effect of a contract of insurance for the period it remains in force. In **Re Coleman's Depositories**¹⁰ where the court emphasized that a cover note, though temporary, has the same binding effect as a full insurance policy for its duration.

Insurance Policies & Contracts

This is the formal document representing the contract between the insurer and the insured, outlining the terms and conditions.

Insurance Act Cap 191, Section 132: This section defines an insurance policy and provides that it must include the terms, conditions, exceptions, and provisions under which the insurance cover is issued. It sets the formal structure of insurance contracts, ensuring clarity and legality.

Insurable Interest

Insurable interest refers to a legal or equitable interest in the subject matter of insurance that gives the insured a direct financial stake in the insured event. In **Lucena v. Craufurd**¹¹ where in this case, it was held that a person has an insurable interest when they benefit from the existence of a thing or stand to lose from its destruction. In **Ebsworth v. Alliance Marine Insurance Co.**¹² where the court held that a consignee with possession of goods had an insurable interest sufficient to insure the full value, though they could only recover for the loss actually suffered. **Further in Maurice v. Goldsborough Mort**¹³: Brokers with a financial stake in the sale of wool had an insurable interest but could not recover the loss of profits as they didn't insure for that.

Section 132 of the Insurance Act Cap 191 provides that an insurable interest is mandatory for a contract of insurance, meaning the insured must have a financial or equitable interest in the subject matter of the insurance.

Life Insurance

Insurable interest in life insurance refers to a personal or financial stake in the life of the insured. It is a requirement for the policyholder to have an interest in the continued existence of the insured person. In **Dalby v. India & London Life Assurance Co.**¹⁴ where the House of Lords held that insurable interest must exist at the time of policy inception but need not be maintained at the time of loss. Section 132 of the *Insurance Act Cap 191* In life insurance, this provision requires that the insurable interest must exist when the policy is taken out, especially if the insurance is on the life of another.

⁷ [1901] 17 TLR 233

⁸ [1966] 1 QB 304

⁹ [1886] 16 QBD 727

¹⁰ [1907] 2 KB 798

¹¹ (1806) 2 Bos & PNR 269

¹² (1897) 1 QB 536

¹³ (1939) 62 CLR 473

¹⁴ (1854) 15 CB 365

Duty of Utmost Good Faith (Uberrima Fidei)

Insurance contracts are based on mutual trust. Both parties (insurer and insured) are obliged to disclose all material facts relevant to the risk being insured.

Carter v. Boehm¹⁵ where Lord Mansfield held that the principle of utmost good faith obliges both parties to reveal all facts that could affect the insurer's assessment of risk.

Hajji Kavuma Haroon v. First Insurance Co. Ltd¹⁶ In this case, the insured misrepresented the make, model, and value of the vehicle, allowing the insurer to avoid the contract based on fraud. **Section 16**¹⁷ codifies the duty of utmost good faith, requiring the insured to disclose every material fact known to them. The insurer can avoid the contract if the insured fails to do so.

The Duty to Disclose Material Facts

The insured must disclose all material facts that would influence the insurer's decision to accept or reject the risk or to set the premium. In **Joel v. Law Union & Crown Insurance**, the court held that facts within the proposer's knowledge must be disclosed if they are material to the insurer's decision. Further in **Lambert v. Co-operative Insurance Society Ltd**¹⁸: Mrs. Lambert's non-disclosure of her husband's prior convictions led to the insurer successfully repudiating the contract. **Also in Economides v. Commercial Union Assurance Plc**¹⁹ held that honest misrepresentation of property value by the insured did not void the contract because it wasn't proven that the insured knew the valuation was unreasonable. **Section 17**²⁰ imposes a duty on the insured to disclose all material facts before the contract is concluded. A material fact is anything that would affect the judgment of a prudent insurer in deciding whether to accept the risk or determining the premium.

Time When Insurable Interest Must Exist

General Rule: Insurable interest must exist at both the inception of the insurance contract and at the time of loss. However, exceptions exist in some types of insurance.

Exceptions

Life Insurance: Insurable interest only needs to exist at the start of the policy (as in **Dalby v. India & London Life Assurance Co**²¹).

Marine Insurance: Under marine policies, insurable interest must exist at the time of the loss, not necessarily at the inception of the contract (as in **MacAura v. Northern Assurance Co**²²).

Principle of Co-Insurance

Co-insurance occurs when more than one party has an insurable interest in the same property or risk and is covered under the same policy or separate policies. In **Petrofina (UK) Ltd v. Magnaload Ltd**²³ it was held that contractors and subcontractors working on the same project could insure the entire project, even though their individual responsibility extended only to their respective parts.

Misrepresentation & Fraud

If the insured makes a misrepresentation or engages in fraudulent activity when entering into an insurance contract, the insurer can void the contract and deny claims. In **Bassajjabalaba Hides & Skins Co. Ltd v. United Assurance Co. Ltd**²⁴ where in this case, the insured failed to disclose the full extent of its business activities, which was held to be a material misrepresentation allowing the insurer to avoid the contract. Further in **Banque Keyser Ullman SA v. Skandia (UK) Insurance Co. Ltd**²⁵, the court ruled that an insurer's failure to disclose a material fact, even though it benefitted the insured, breached the duty of utmost good faith. **Section 17**²⁶: This provision allows an

¹⁵ (1766) 3 Burr 1905

¹⁶ (HCCS No. 442 of 2013)

¹⁷ Marine Insurance Act Cap 192

¹⁸ (1975) 2 Lloyd's Rep 485

¹⁹ (1997) 3 WLR 1013

²⁰ Supra

²¹ (1854) 15 CB 365)

²² (1925) AC 619)

²³ (1984) QB 127

²⁴ (HCCS No. 633 of 2002)

²⁵ (1990) 1 QB 665

²⁶ Marine Insurance Act Cap 192

insurer to avoid a policy in cases where the insured has either misrepresented or concealed a material fact.

Temporary Cover & Offers to Insure

Temporary cover can constitute an offer to insure, and if the insured relies on it, there may be an acceptance through conduct without explicit communication. In **Taylor v. Allon**, It was held that temporary cover amounted to an offer to insure, but the insured's subsequent behavior did not amount to an acceptance as he intended to seek insurance with a different company.

Breach of Contract Of Insurance

Failure to adhere to the terms of an insurance contract, whether by the insurer or the insured, can result in legal action for breach of contract. In **Entores v. Miles Far East Corp**²⁷ where the contract was deemed to have been formed when the acceptance was received by the offeror, establishing jurisdiction in London. Also in **Re Coleman's Depositories Ltd**²⁸: A condition in the insurance policy requiring notice of accidents within a specified time was not upheld because it was not properly incorporated into the contract.

Misrepresentation in Insurance Contracts

1. Misrepresentation in insurance refers to false statements of fact made by one party to induce another party into entering a contract. It can significantly affect the validity of the contract, making it voidable at the discretion of the innocent party.

Types of Misrepresentation

1. **Innocent Misrepresentation**: This occurs when a party makes a false statement without intent to deceive, often due to a mistake or misunderstanding, and with reasonable grounds for believing in its truth. In **Economides v. Commercial Union Assurance Co. Plc**²⁹ where this case clarified that misrepresentation must be

based on factual statements, not merely opinions or beliefs.

2. **Fraudulent Misrepresentation**: This involves knowingly making a false statement or doing so recklessly without regard for its truth. The party making the representation intends to deceive the other party. In **Kettlewell v. Refuge Assurance Co.**³⁰ where the insured was induced by an agent's statement that continuing premium payments would result in a free policy after five years. The court held this representation was fraudulent, allowing the insured to avoid the contract and claim back the premiums.

Inducement and Materiality

For misrepresentation to render a contract voidable, it must be both material and induce the innocent party to enter into the contract. In **Pan Atlantic Insurance Co. Ltd v. Pine Top Insurance Co. Ltd**³¹ the court ruled that for a misrepresentation to be actionable, it must be material and have actively influenced the decision-making process of the insured.

Ambiguity in Representations

Ambiguity in the questions asked by insurers or the responses provided by the insured can lead to misinterpretation. If the insured's answers are based on a reasonable understanding of an ambiguous question, it may not constitute misrepresentation. **Yorke v. Yorkshire Insurance Co. Ltd**³² the court allowed insurers to interpret an ambiguous answer to a question about previous illnesses as potentially misleading, thus considering it a misrepresentation.

Expert Evidence and Obvious Materiality

In some cases, the courts may allow expert evidence to determine whether a misrepresented fact was material. Additionally, certain facts may be so obviously material that they do not require expert testimony to establish their relevance. In **Glicksman v. Lancashire & General Assuranc Co.**³³ where in a burglary insurance

²⁷ (1955) 2 QB 327

²⁸ (1907) 97 LT 467

²⁹ (1998) EWCA Civ 1584

³⁰ (1908) 1 K.B 545

³¹ [1995] 1 A.C. 501

³² (1919) 1 K.B 662

³³ [1925] 2 K.B 593

case, it was held that the fact of being denied coverage by another insurer was inherently material, and no further evidence was needed to prove this.

Fraudulent Misrepresentation

A party is guilty of fraudulent misrepresentation if they knowingly make false statements. This allows the innocent party to void the contract and claim damages.

Key Case: Derry v. Peek³⁴ where the court established that a proposer who knowingly makes a false statement is liable for fraudulent misrepresentation.

Fraud and Its Effects in Insurance

Fraud undermines the essence of utmost good faith in insurance contracts. Concealment of material facts can lead to significant consequences. In **Suffish v. Egypt Air** where the principle under this was concealment of material facts undermines the principle of utmost good faith in insurance and court held that since the insured knowingly sought coverage for fish that had gone bad, which constituted fraud due to the concealment of material information.

Burden of Proof

The burden of proof lies with the party claiming misrepresentation to prove its occurrence.

Hajji Kavuma Haroon v. First Insurance Company Ltd where it was held that the burden of proof lies with the party claiming misrepresentation to prove its occurrence. **Thus** this case illustrated that the party relying on misrepresentation must demonstrate its existence to avoid the contract.

Remedies for Misrepresentation

- **Rescission:** The innocent party has the right to rescind (void) the contract due to misrepresentation.
- **Damages:** If fraudulent misrepresentation is proven, the innocent party can also sue for damages.

Premiums in Insurance

A premium is the consideration paid by the insured to the insurer in exchange for the insurer's commitment to cover specific risks under an insurance policy. This is established under Section 62-65 and Section 89 of the Insurance Act Cap 191. According to **Lewis v. Norwich Union Fire Insurance Co³⁵**, the premium is typically a monetary payment determined by insurers and approved by the Insurance Regulatory Authority (IRA). The IRA has the authority to set minimum premium rates for any class of insurance (s.63(2)).

Payment of Premiums: The insured must pay the premium in full before the policy's inception or upon renewal (s.62(1)). Insurers are not liable to cover any risks until the premium is paid. In **Daniel Ssebowa vs. Paramount Insurance Company Ltd³⁶**, the plaintiff was allowed to pay premiums in installments under a previous law. However, since he did not pay in full, the court dismissed his claim, ruling that there was a failure of consideration.

Modes of Payment: Typically, premiums are paid in cash or by cheque, with cheque payments contingent upon the cheque being honored.

Return of Premiums

Circumstances for Return of Premiums

An insured is generally not entitled to a return of premium unless there has been a total failure of consideration on the part of the insurer. This principle is supported by **Wolenberg v. Royal Co-operative Collecting Society³⁷**, where a claim was denied due to the insurer having been at risk.

Conditions for Total Failure of Consideration

1. **Void Ab Initio Contracts:** If a contract is deemed void ab initio, the insured may recover the premium.

³⁴ (1889) LR 14 App Cases 337

³⁵ (1916) A.C. 509

³⁶ HCCS No. 10 of 2011

³⁷ (1915) 83 L.J.K.B. 1316

2. **Illegal Contracts:** If an insurer lowers approved premium rates without IRA approval, as per s.65 of the Insurance Act, Cap 191, the policy may be canceled, and the insured is entitled to a refund for the unexpired period.

Risk in Insurance

Risk refers to uncertain events that an insured seeks protection against. An insurer must evaluate risk in terms of likelihood and appropriate premium rates.

Insurable Risks: For risks to be insurable, there must be a pool of similar risks. Certain risks, such as reckless acts (moral hazards) and inherent vice, are not insurable.

Key Considerations

1. The insured event must be uncertain.
2. The event must occur by chance (fortuity).

Impact of Insured's Negligence

While negligence by the insured does not typically prevent recovery, losses deliberately caused or recklessly caused by the insured are excluded from coverage. In **Harris v. Poland**³⁸: In this case, the insured accidentally set fire to her jewelry while trying to hide it from thieves. The court held that the insurer was liable since the fire was an insurable event, regardless of the insured's negligence.

Comprehensive Policies

Comprehensive insurance covers a broad range of risks but typically excludes wear and tear, inherent vice, and illegal acts. In **British & Foreign Marine Insurance Co. Vs. Gaun**³⁹ where this case clarified that comprehensive policies do not cover ordinary wear and tear or inherent vice.

Wear and Tear and Inherent Vice

1. **Wear and Tear:** This refers to expected damage from normal use and is not covered under comprehensive policies.

2. **Inherent Vice:** Internal defects in property are excluded from coverage as damages arise from within the property itself.

Noten v. Harding⁴⁰ In this case, leather gloves were damaged by moisture, which was inherent to their material. The court ruled that the insured could not recover as this risk was inherent.

Wilful Misconduct

Impact on Recovery: Losses due to the insured's wilful misconduct or deliberate acts do not entitle the insured to recover under the policy.

Cases below evidently illustrate this principle;

1. **Gray v. Barr**⁴¹ the court ruled against a defendant seeking compensation from the insurer after causing death through a deliberate act, holding that the defendant could not benefit from his own wrongdoing.
2. **Charlton v. Fisher**⁴² this case diverged from Gray's by allowing a victim compensation from the insurer despite the tortfeasor's reckless driving, showing a balance between public policy and compensating victims.

Other Limitations on Recovery

1. **Loss of Subject Matter:** Recovery under an insurance policy requires actual loss of the insured subject. In **Mitsui v. Mereford**⁴³ where the insured could not recover as the timber, though not transportable due to war, still existed. **Moore v. Evans**⁴⁴ Similar principles applied where jewelry, despite being in safe custody, was not recoverable as the insured property still existed.
2. **Consequential Losses:** Insurance contracts typically exclude consequential losses unless explicitly stated. In **Re Wright & Pole**⁴⁵ the court denied recovery for loss of rent and business due to a burnt inn, emphasizing the

³⁸ (1941) K.B. 462

³⁹ [1921] 2 A.C. 41

⁴⁰ (1990) 2 Lloyd's Rep. 527

⁴¹ (1971) 2 Q.B. 554

⁴² (2001) Lloyds' Rep. 387

⁴³ (1915) 2 K.B. 27

⁴⁴ (1918) A.C. 185

⁴⁵ (1834) 1 Ad & E1 621

need for specific policy provisions for such losses.

Commencement of Risks

The risk coverage begins as agreed between the parties—typically from the date of the policy or premium payment. Insurers are liable for losses within the covered period. Refer to **Bassajjabalaba Hides & Skins Co. Ltd v. United Assurance Co. Ltd** where the courts established that insurers are not liable for losses arising before the policy's effective date.

CAUSATION / DOCTRINE OF PROXIMATE CAUSE

To recover under an insurance policy, the insured must demonstrate not only that the loss falls within the covered perils but also that it was proximately caused by an insured peril. The proximate cause is the effective, dominant, or real cause of the loss, particularly in scenarios where a series of events has led to that loss.

Key Principles

1. **Proximate Cause:** It refers to the immediate cause that led to the loss, which must be an insured peril. The insured must establish that the proximate cause of the loss was within the coverage of the insurance policy. **Becker Bray & Co. v. London Assurance Corp. (1918) AC 101:** This case underscores the importance of establishing the proximate cause in the context of multiple contributing factors to a loss.
2. **Effective Cause:** The effective cause of the loss is considered as the dominant cause in a series of events leading to the loss, rather than the last event in that series. In **Leyland Shipping v. Norwich**⁴⁶ where in this case, a ship insured against perils of the sea was torpedoed during WWI. Although the ship was subsequently damaged by sea water due to its exposure outside a harbor, the court found that the proximate cause of the loss was the torpedo strike, an insured peril, and not the subsequent

exposure to sea water. The court ruled that since the proximate cause was excluded, the insurer was not liable. Also in **Symington v. Union Insurance of Canton**⁴⁷, this case further illustrates the principle of proximate cause in determining insurer liability.

- **Wayne Tank & Pump Co. Ltd v. Employers' Liability Insurance Co. Ltd**⁴⁸ Here, defective equipment led to a fire that destroyed a factory. The court ruled that the proximate cause was the defect in the equipment, not the negligence of leaving it switched on.
- **Gray v. Barr**⁴⁹, in this case, the court ruled that the deliberate act of the defendant firing a loaded gun was the proximate cause of the loss, which denied indemnification under the insurance policy.

CONDITIONS AND WARRANTIES

Meaning of Warranties

A warranty is a crucial term in an insurance contract and serves as a condition that must be fulfilled for the insurer's liability to arise. The essential characteristics of a warranty are;

1. **Part of the Written Contract:** The warranty must be included in the policy or related documents incorporated into the policy. **Sceales v. Scanlan**⁵⁰ where the court held that insurers and insureds can agree that the contract's validity hinges on certain facts, and adherence to such agreements is necessary regardless of materiality.
2. **Literal Fulfillment:** Warranties must be strictly adhered to; any breach discharges the insurer's liability, regardless of whether the breach relates to the loss.
3. **Materiality:** The matter warranted does not need to be material to the risk; the insurer can enforce adherence to the warranty. **Thompson**

⁴⁶ [1918] AC 350

⁴⁷ (1928) 97 L.J. KB 646

⁴⁸ (1974) 1 QB 57

⁴⁹ (1971) 2 QB 554

⁵⁰ (1843) 6 Lr.L.R 367

v. Weems⁵¹ where in this case, the insured misrepresented their habits in a proposal form, and the insurer was entitled to repudiate the policy due to this breach, irrespective of materiality.

Conditions

Conditions in an insurance contract refer to obligations that do not fundamentally affect the risk covered. They often confer rights upon the insurer (e.g., notice of loss).

Effect of Breach of Condition

Breaching a condition allows the insurer to claim damages but does not discharge them from liability as a warranty breach would.

Relevant Case Law on breach.

1. **Mac Cormick v. National Motor Insurance**⁵²
The court upheld those conditions are descriptive of the risk and insurers remained liable even with a breach.
2. **Provincial Insurance v. Morgan**⁵³ this case illustrates that breaches of conditions might lead to liability claims, but do not automatically discharge the insurer from obligations under the policy.
3. **Daniel Ssebowa case**, the court emphasized the necessity of strict adherence to policy conditions, dismissing the claim due to several breaches.

Now understanding the principles of proximate cause and the nature of warranties and conditions is vital in assessing liability in insurance contracts. Courts have consistently upheld these principles, emphasizing the necessity for strict compliance with policy terms, both in the context of warranties and conditions. The cited cases illustrate the application of these principles and the courts' interpretations of insurance contracts.

Insurance Claims Process

Notification of Loss and Claims Procedure

Once a loss occurs, the insured must notify the insurer. The **Insurance Regulatory Authority (IRA)** has established guidelines requiring insurers (claims officers or brokers) to visit the scene of loss within three working days from the claim's receipt or within five days for complex claims.

Key Issues:

- Determining if the loss was caused by an event covered by the policy.
- Assessing if the loss resulted from the insured's deliberate actions. In **Charlton vs. Fisher**⁵⁴ Addressed the consequences of deliberate actions of the insured.
- Verifying if the claim is fraudulent or exaggerated. In **Gray vs. Barr**⁵⁵ focused on the liability of the insured concerning third-party claims.
- Ensuring compliance with the claims procedure.

Claims Procedure

Insurance policies typically specify the claims procedure, addressing notice requirements and the proof necessary to support the claim. If the policy is silent, the law implies a reasonable time frame.

- Notice must be provided to the insurer or their agent; merely notifying the insured's agent is insufficient.
- The insured should provide reasonable information about the loss, not exhaustive details.

In **Cassel vs. Lancashire & York Accident Insurance Co**⁵⁶ established strict compliance with notice periods.

⁵¹ (1884) 9 AC 671 (HL)

⁵² (1934) 50 T.L.R 528; (1934) 40 Com Cas 76

⁵³ (1933) A.C 240

⁵⁴ (2001), Lloyd's Rep 12 387

⁵⁵ (1971), 2 Q.B 554

⁵⁶ (1885), 1 TLR 495

Also in **Daniel Ssebowa vs. Paramount Insurance Company Ltd**⁵⁷, the insured was denied compensation for failing to provide timely notice.

Fraudulent Claims

Fraudulent claims are those where the insured intentionally misrepresents or submits false evidence. Good faith is a continuing duty in insurance contracts. In **Boulton vs. Houlder**⁵⁸ affirmed the necessity of good faith throughout the contract. Also, **Orakpo vs. Barclays Insurance Services**⁵⁹, clarified the varying degrees of good faith at different contract stages. Conclusively, **Galloway vs. Royal Guardian Royal Exchange (UK) Ltd**⁶⁰, established that fraudulent claims void the entire claim.

Settlement of Claims

Settling claims typically involves indemnity and compensation based on the nature of the insurance contract.

- **Indemnity:** The insurer promises to compensate the insured for losses incurred.
- In **life insurance**, the benefits may be agreed upon sums payable to beneficiaries.

Principles of Indemnity

- The insured cannot recover more than the stated sum in the policy.
- Indemnity is measured by the loss's value at the time, regardless of when the policy was initiated.

In **Leppard vs. Excess Insurance Co.**⁶¹ Emphasized that the insured is entitled to indemnification against the actual loss incurred.

The Principle of Subrogation

Subrogation is the insurer's right to claim reimbursement from a third party after indemnifying the insured for a loss caused by that party.

Key Aspects

1. The insurer, after indemnifying the insured, has the right to pursue compensation from the responsible third party.
2. The insured must not profit from the loss and should assist the insurer in recovering losses.

Castellian vs. Preston affirmed that the insurer can pursue subrogation rights after indemnification. Further in **Yorkshire Insurance vs. Nisbett Shipping**⁶² clarified that the insurer's subrogation rights apply only up to the extent they have indemnified the insured.

Discussion on Subrogation

This principle is rooted in ensuring that the insured does not benefit from their loss but rather is restored to their pre-loss position.

Key Principles

- Subrogation operates after full indemnification. Seen in **Suffish International Processors & Anor vs. Egypt Air Corporation**⁶³ which discussed insurer's subrogation rights contingent upon indemnification.
- The insured holds any compensation received from the third party in trust for the insurer.

Unicof Ltd vs. Interfreight Forwarders⁶⁴ which addressed conditions for the insurer's subrogation rights.

Here's a detailed summary of the text you provided, incorporating the principles and case law, as well as relevant sections of the Insurance Act Cap 191.

INSURANCE LAW PRINCIPLES AND INTERPRETATION

⁵⁷ (HCCS No. 10 of 2011)

⁵⁸ (1904), 1 K.B 784

⁵⁹ (1995)

⁶⁰ (1999)

⁶¹ (1979), 1 WLR 512

⁶² (1962), 2 QB 330

⁶³ (SCCA No. 15 of 2001)

⁶⁴ (HCCS No. 912/96)

The interpretation of insurance contracts is governed by established principles of law, notably articulated in the **Kakugu case**⁶⁵ by Musota, J. The principles include;

1. **Literal Rule:** Words in the contract must be interpreted according to their ordinary meaning. This is supported by **Yorke vs. Yorkshire Insurance Company Limited**⁶⁶, where the court emphasized the plain meaning of terms in contracts and also **Christine Mawadri t/a Maisha Creative Agencies vs. Brit Syndicates & AON Uganda Ltd**⁶⁷, where the courts reiterated the necessity for a plain interpretation.
2. **Ejus Dem Generis Rule:** When general words accompany specific words, they should be limited to a similar context as the specific words.
3. **Whole Policy Interpretation:** The entire insurance policy must be read as a coherent document rather than isolated clauses.
4. **Terms of Art or Technical Terms:** These should be interpreted according to their industry-specific meanings unless the context suggests otherwise.
5. **Ambiguity:** If the wording of the policy is ambiguous, it must be construed strictly against the party that drafted it (the insurer) and in favor of the party relying on it. This is referred to as the **contra proferentem** rule. In **Lucy Kabege t/a Ideal Surveyors, Valuers & Real Estate Management vs. NICO Insurance (U) Ltd**⁶⁸, where the court resolved ambiguity against the insurer due to vague language concerning fidelity clauses. Further in **Simmonds vs. Cockell**⁶⁹ and the **Kakugu case**, where ambiguous wording favored the respondent.
6. **Liberal Interpretation of Warranties:** Warranties requiring strict compliance should be interpreted liberally in favor of the insured, meaning they must be clearly stated to be enforceable.

INSURANCE INTERMEDIARIES

The **Insurance Act, Cap 191** provides the legal framework for insurance intermediaries, specifically sections 2 and 82-95, detailing who qualifies as an insurance intermediary and the licensing requirements:

Definition of Intermediaries is under (s.2): Includes agents, brokers, risk advisors, loss assessors, and re-insurance brokers.

- **Licensing (s.82):** Intermediaries must obtain a license from the Insurance Regulatory Authority of Uganda (IRA). Operating without a license is illegal (s.83(1)).
- **Fit and Proper Person Requirement (s.86)** where an applicants must demonstrate moral integrity and competence, with specific disqualifications outlined, including past convictions or defaults on loans.
- **Prohibition of Certain Persons as Agents (s.87)** as certain categories, such as public officers and employees of insurers, cannot serve as insurance agents.

The **Insurance Appeals Tribunal (s.95)** has the authority to revoke or suspend licenses, with rights for the intermediary to appeal decisions within specified timeframes. Criticism arises over the broad discretion given to the IRA in these decisions.

General Agency Principles in Insurance

The law of agency applies to insurance intermediaries, establishing that the principal (insurer) is bound by the actions of the agent (intermediary). Key principles include:

1. **Ostensible Authority:** The insurer is liable based on the apparent authority of the agent, as highlighted in **Murfitt v Royal Insurance**⁷⁰, where the agent's prior dealings conferred

⁶⁵ (HC Civil Appeal No. 040 of 2015)

⁶⁶ [1918] 1 KB 662

⁶⁷ HCCS Civil Suit No. 376 of 2009

⁶⁸ HCCS No. 319/2012

⁶⁹ [1920] 1 KB 843

⁷⁰ (1922) 38 Times Law Rep 334,

implied authority and also in **Mackie v European Assurance Society**⁷¹, which established that the principal is liable for the agent's misrepresentations in the course of their authority.

2. **Termination of Agency:** A principal remains liable for actions taken by the agent unless the third party was aware of the termination (**Willis, Faber v Joyce**)⁷².
3. **Adoption of Agent's Actions:** If the principal benefits from the agent's actions, they are deemed to have adopted those actions, as seen in **Lloyd v Grace Smith & Co**⁷³.
4. **Exceptions to Agent Liability:**
 - Actions by company directors are always binding on the company.
 - Notice of limitations to the agent's authority must be communicated.
 - Actions clearly outside the agent's authority, as seen in **Newsholme v Road Transport Insurance** (1929) 2 KB 356, may exempt the principal from liability.
5. **Ratification:** Ratification of the agent's actions must occur before any loss or damage, except in certain marine cases (**Grover and Grover v Mathews**)⁷⁴.

Legal Actions and Capacity

- **Dual Capacity:** An insurance agent cannot act as a broker simultaneously (s.86(1)(b)).
- **Imputation of Knowledge:** The principle of constructive notice is not applicable in insurance, as established in **Manchester Trust v**

Furness⁷⁵, where knowledge possessed by an agent does not transfer to the principal.

Waiver in Insurance Law

Agent's Waiver

Yes, an agent's waiver is considered the principal's waiver. This principle is rooted in the understanding that third parties dealing with an agent do so in good faith and are entitled to assume that the agent is executing their duties diligently. The rationale behind this concept is outlined in the **Grace Smith case**, where it was noted that an agent's knowledge or waiver can be imputed to the principal.

In **Evans v. Employers Mutual**⁷⁶, the court extended this principle to lower-level staff, reinforcing that waivers from agents or employees are binding on the principal.

Misrepresentation in Proposal Forms

When a Broker Fills the Proposal Form

If a broker fills out a proposal form on behalf of the assured and misrepresents information, the following principles apply. In **Royal London case**⁷⁷: This case addresses the liability of brokers in instances of misrepresentation in proposal forms.

Insurer's Agent Filling the Proposal Form

There are two approaches concerning liability when an insurer's agent fills out a proposal form for the assured and misrepresents it:

1. **Agency Principle:** If the insurer's agent acts for the insured, he becomes the insured's agent. In this case, the insurer is not liable for the agent's mistakes.
2. **Parole Evidence Rule:** The insured cannot contradict the signed proposal form. They are

⁷¹ (1869) 21 LT 102

⁷² (1911) 27 TLR 388)

⁷³ (1912) AC 716

⁷⁴ (1910) 2 KB 401

⁷⁵ (1895) 2 QB 539,

⁷⁶ (1936) 1 KB 505

⁷⁷ (1914) 30 LR 350

estopped from denying the validity of their signature on the proposal.

In **Newsholme v. Road Transport & General Insurance Co.** (supra), the court found that the agent had acted on behalf of the proposer (insured), and thus the knowledge of the agent was not imputed to the insurer. The agent, having filled out the form without proper diligence, bore responsibility.

In contrast, in **Bowden v. London, Edinburgh & Glasgow Assurance Co.** (1892) 2 Q.B. 534, the insurer was bound by the agent's misrepresentation because the proposer was illiterate and unaware of the misrepresentation. This distinction highlights that an insured individual who can read and sign a proposal form without verifying its content is estopped from claiming otherwise.

General Practice of Courts

Courts generally lean towards the insured in these matters. Notable cases of inference include:

- **Stone v. Mitcho** (1972) 1 Lloyd's 469
- **Pearl Life v. Johnson** (1909) 2 KB 288

Types of Insurer's Agents

Under common law, there are two categories of insurer's agents:

1. **General Agents:** These are agents within the company structure.
2. **Special Agents/Local Agents:** These are commissioned to seek business for the insurer.

Principle of ostensible Authority

The ostensible authority of an insurer's agent is crucial. Determining the extent of this authority requires an examination of the specific facts of each case. For instance in **Murffit v. Royal Insurance Co.**: The court held that the agent had the implied authority to enter into temporary oral contracts for fire insurance based on prior

actions that had been accepted by the insurer. Compared with the case of **London and Lancashire Life v. Flemming**⁷⁸, which delineates the authority of brokers to receive premiums. And also **Oriental Insurance Brokers case**, where the broker's role in managing overdue premiums was clarified.

Section 62 of the Insurance Act, Cap 191 this section mandates that all premiums be paid at or before the inception of the policy, contrasting previous practices under the repealed Insurance Act, Cap. 213.

Insurance Brokers

There are two key definitions of an insurance broker:

1. **Common Law Definition:** A broker is broadly defined as anyone who undertakes to make an insurance contract for the assured.
2. **Insurance Act Definition (s.2):** An insurance broker is a person, not being an insurance agent, who acts independently for commission or remuneration, soliciting or negotiating business on behalf of an insurer or prospective insured.

Duties of Brokers

The primary duties of insurance brokers include:

1. **Adequate Coverage:** To secure sufficient insurance coverage for clients. **Osman v. Moss**⁷⁹ and **Moulton's case** (1942) 73 Lloyd's Rep. 104: These cases underline the broker's duty to advise clients correctly about policy clauses and risks.
2. **Regulation Compliance:** To ensure that coverage complies with regulatory requirements.
3. **Choosing Insurers:** To select financially sound and licensed insurers (s.80 of the Insurance Act, 201).
4. **Avoiding Misrepresentation:** To ensure that they do not misrepresent information to the insured. **Warren v. Sutton**⁸⁰, the broker was

⁷⁸ (1897) AC 499

⁷⁹ (1970) 1 Lloyd's Rep. 313

⁸⁰ (1970) 2 Lloyd's 276

held liable for misrepresenting the insured's eligibility for an extension on their policy.

Renewal Duties

At the renewal stage, brokers must disclose any changes in circumstances affecting the coverage, as highlighted in **Coolee v. Windhealth**⁸¹.

Remedies for Breach of Duty by Brokers

In cases of a breach of duty by the broker, the aggrieved party is entitled to damages, which typically reflect the financial loss that would have been incurred if the insurance coverage had been effective without the breach. The case **Fraser v. Fireman**⁸² illustrates how mitigating factors must be considered in determining damages.



⁸¹ (1930) 4 TLR 78

⁸² (1967) 1 WLR 898